

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice

9708/12**May/June 2016****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

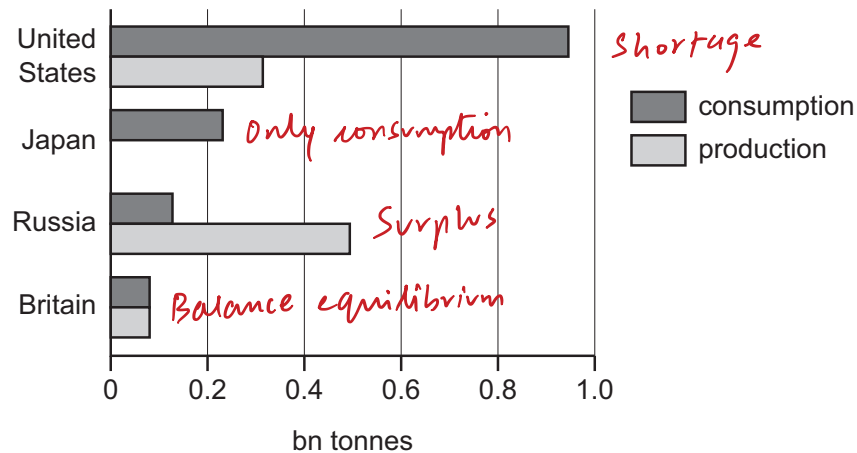


Karak Mushtaq
Solved with reasons!

This document consists of **13** printed pages and **3** blank pages.

2

- 1 In 2007 there was a worldwide shortage of oil. The diagram shows the consumption and production of oil (billion tonnes) in 2007 for selected countries.



What can be concluded from the diagram?

- A In Britain, oil had zero opportunity cost. (No) (Always an opportunity cost)
- B In Japan, there was self-sufficiency in oil. (There is no production) (All imported)
- ☒ C In Russia, there was no shortage of oil. (Because there was surplus)
- D In the United States, rationing was the only solution to oil shortage. (It is not the only)
- 2 What is necessary for effective specialisation?

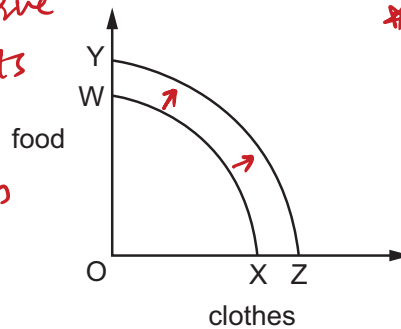
- A a barter system (Discourages specialization) (Multiple exchange rate)
- ☒ B a medium of exchange
- C a production possibility curve (concept of output presented)
- D a system of trade protection (Discourages trade, thus no specialization)

* Money encourages specialization: Money is a means of exchange and it has a standardized pre-determined stored value that is backed by the government. a) Money encourages specialization because it promotes competition. The competition will lead to finding out who can be most efficient in their operations.

3

3 The change from WX to YZ in a country's production possibility curve is shown.

* Production possibility curve shows combination of outputs that an economy can produce with given resources



* Shift Rightward, Resources ↑
 - Discovery of resources
 - Technological Advancement
 - Immigration

What could have caused this shift?

- A an increase in employment among the existing labour force (Actual ↑)
 B an increase in the rate of interest (Actual ↓) (r ↑, C ↓, AD ↓) (Unemployment ↑)
 C the closing of an inefficient factory (Actual ↓) (Unemployment ↑)
 D the discovery of a new resource [Increase in resource] [Shift] stored ↑
- 4 Recently, thousands of ancient Roman coins were discovered buried in a field in the UK.

Funds were raised by a museum to buy them.

What function of money did the coins retain?

- A a medium of exchange
 B a standard for deferred payments
 C a store of value
 D a unit of account

A standard of deferred payment is the accepted way, in a given market, to settle a debt – a deferred payment is not as widely used as other terms for functions of money, namely medium of exchange, store of value, and unit of account, though it is distinguished in some works.

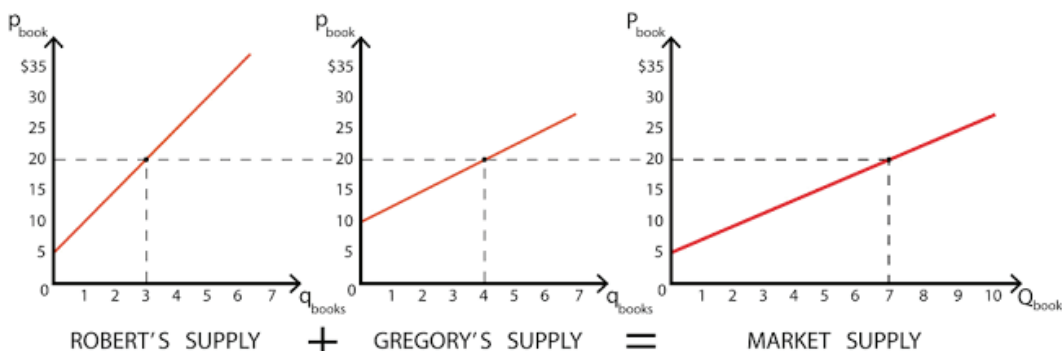
A medium of exchange is an intermediary instrument used to facilitate the sale, purchase or trade of goods between parties. For an instrument to function as a medium of exchange, it must represent a standard of value accepted by all parties. In modern economies, the medium of exchange is currency.

5 What describes a market supply curve?

- A It is downward sloping. (Demand)
 B It is the same as the aggregate supply curve. (macro)
 C It is the sum of all firms' supply curves for a product.
 D It is the supply of all products within an economy.
 macro

A store of value is the function of an asset that can be saved, retrieved and exchanged at a later time, and be predictably useful when retrieved. ... The most common store of value in modern times has been money, currency, or a commodity like a precious metal or financial capital.

A unit of account in economics is a nominal monetary unit of measure or currency used to represent the real value (or cost) of any economic item; i.e. goods, services, assets, liabilities, income, expenses. It is one of three well-known functions of money. It lends meaning to profits, losses, liability, or assets.



[Turn over]

4

Demand ↓

- 6 The demand curve for new cars in a country shifted to the left.

Which change could have caused such a shift?

- A an increase in real disposable income Demand ↑
- ☒ B an increase in the cost of borrowing consumption ↓, Demand ↓
- C an increase in the price of new cars Quantity demand ↓ (Movement)
- D an increase in the price of train travel Demand for cars ↑ (Shift)

- 7 The table gives estimates of the price elasticities and cross elasticities of demand for bus and rail travel.

volume service	elasticity with respect to the price of	
	bus travel	rail travel
bus travel	-0.37 α	+0.13
rail travel →	+0.16	-0.43 α

- Substitutes
- positive Relationship
- Ignore negative sign, those are complements

What would be the change in the volume of rail travel resulting from a 1% increase in bus fares?

- A an increase of 0.16%
- B an increase of 0.43%
- C a reduction of 0.13%
- D a reduction of 0.37%

$$XED = \frac{\% \Delta \text{Qty of rail travel}}{\% \Delta \text{Price of Bus travel}} \Rightarrow +0.16$$

XED ⇒ +ve or -ve

- 8 It has been estimated that bread has an income elasticity of -0.04.

What can be concluded about bread from this information?

- A It is a normal good. (Positive YED)
- ☒ B It is an inferior good. (Negative YED)
- C It has many complements. (Negative XED)
- D It has many substitutes. (Positive XED)

$$YED = \frac{\% \Delta \text{in } QD}{\% \Delta \text{in } Y}$$

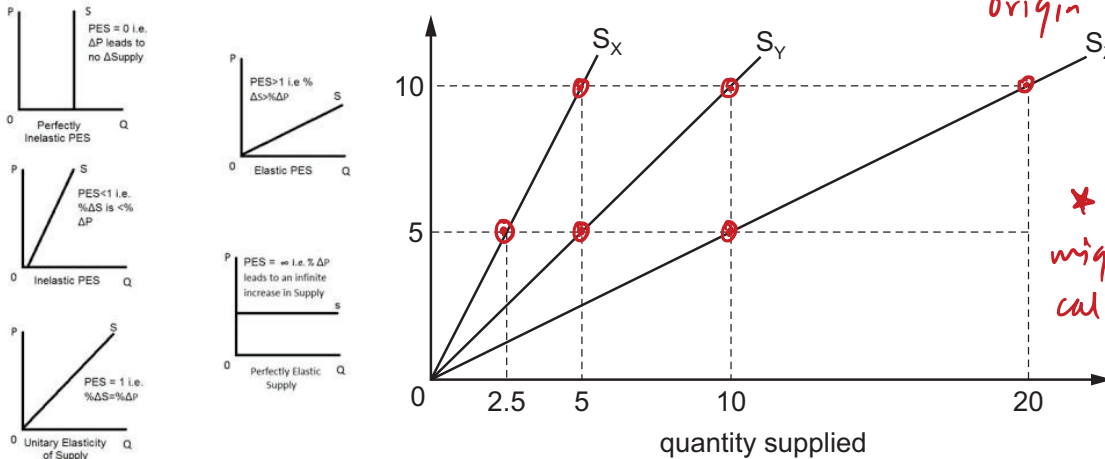
YED = +ve, -ve, '0'
i.e. Normal good,
Inferior goods and
necessity goods!

$$PES \Rightarrow \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$$

$$\% \Delta = \frac{\text{New} - \text{old}}{\text{old}} \times 100$$

* No need to waste the time if you know that Supply passing from origin is Unitary elastic Supply i.e. $PES = 1$

9 S_X , S_Y and S_Z are the supply curves of goods X, Y and Z.



* Great students might start doing calculation! Same result

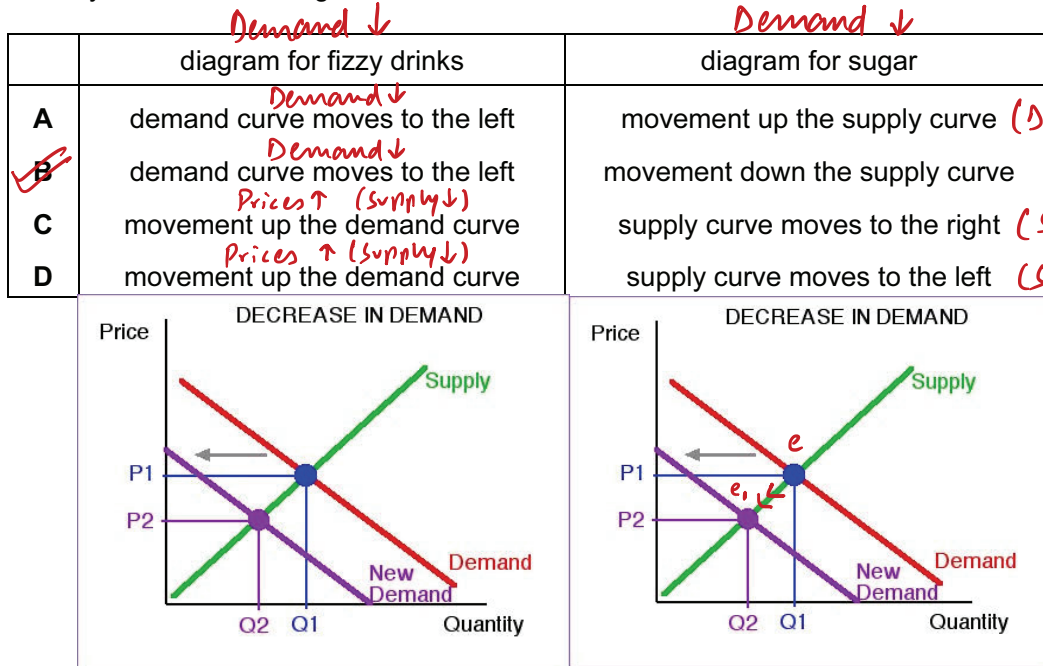
If the price of all three goods rises from \$5 to \$10, what are their price elasticity of supply values?

	good X	good Y	good Z
A	equal to 1	equal to 1	equal to 1
B	equal to 1	greater than 1	greater than 1
C	less than 1	equal to 1	greater than 1
D	less than 1	greater than 1	greater than 1

$S_X :- 1$
 $\% \Delta \text{ in } QS = \frac{5 - 2.5}{2.5} \times 100 = 100\%$
 $\% \Delta \text{ in price} = \frac{10 - 5}{5} \times 100 = 100\%$

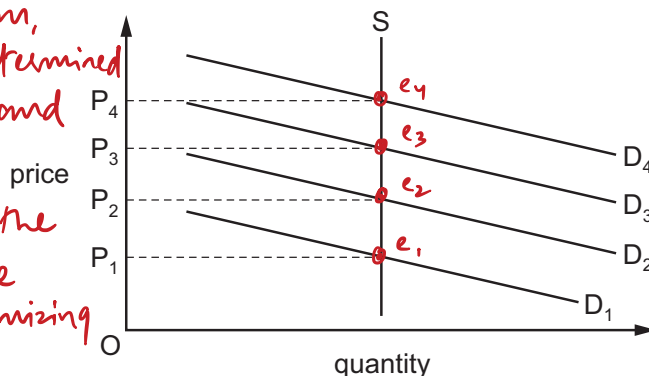
10 A US study, published in July 2014, warned teenagers to reduce the amount of fizzy drink they consume. One can of fizzy drink contains an adult's entire daily sugar allowance.

Demand ↓
 If the advice were accepted, how might the effect be illustrated on demand and supply diagrams for fizzy drinks and for sugar?



- 11 In the diagram, the supply curve shows the number of spaces in a car park and the demand curves show the demand for spaces on four different days (D_1 , D_2 , D_3 and D_4).

* Market mechanism, where prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate the resources in profit maximizing manner.

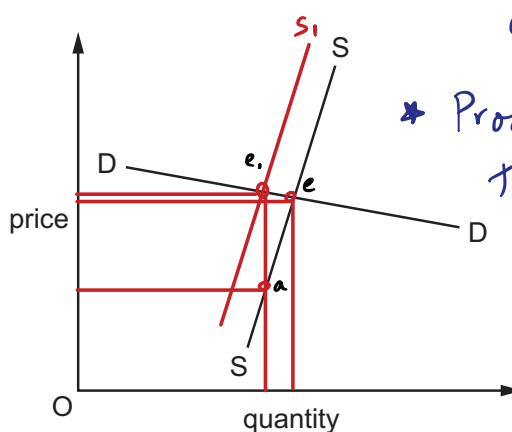


The owner wishes to charge a parking fee on each of these days to allocate the spaces according to the market mechanism.

Which pricing policy should the owner use?

- A set a fixed price at P_1
- B set a fixed price at P_4
- C vary prices between P_2 and P_3
- ☒ D vary prices between P_1 and P_4

- 12 The diagram shows the demand curve and supply curve for a good on which the government imposes a specific tax.



$e_1 - a$:- Per unit tax

* Producer Burden greater than consumer Burden, when demand is elastic and supply is inelastic!

What will be the result of this tax?

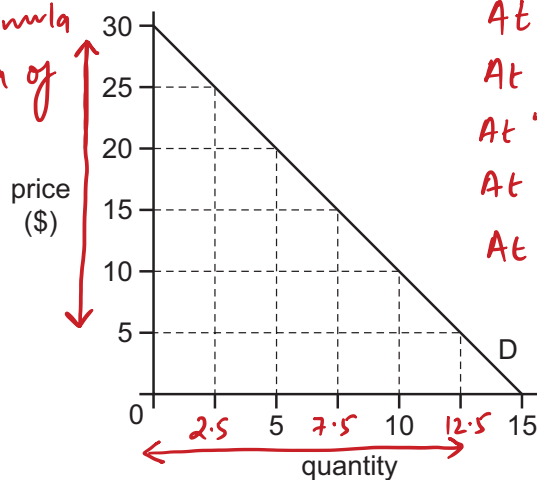
- ☒ A Most of the incidence of the tax will fall on the producer.
- B There will be a new demand curve parallel to DD. (Shift in Supply)
- C The price will rise by the full amount of the tax. (No) (Only in perfectly inelastic demand)
- D The quantity bought will fall proportionately to the tax rate.
No, as demand is elastic

13 The diagram shows a consumer's demand curve for a product.

* I used $\frac{1}{2} \times b \times h$ formula to calculate the area of Consumer Surplus

e.g.
At '\$5'

$$\frac{1}{2} \times 12.5 \times 25 \Rightarrow 156.25$$



Decreasing amount
↑
marginal

At '\$5' C.S = 156.25	}	56.25
At '\$10' C.S = 100		
At '15' C.S = 56.25		
At '20' C.S = 25		
At '25' C.S = 6.25		
		43.75
		31.25
		18.75

* C.S is the difference between the amount you are willing to pay and the amount you actually pay!

How does consumer surplus change as the price of the product rises in \$5 steps between \$5 and \$20?

- No!
- A It falls at a constant rate (%) with each \$5 rise.
- No!
- B It falls by a constant amount with each \$5 rise.
- Yes
- ☒ C It falls by a decreasing amount with each \$5 rise.
- D It falls by an increasing amount with each \$5 rise.

Below the equilibrium

14 A government imposes a maximum rent in order to make rented housing more affordable.

What is likely to be a long-run consequence if the maximum is set below the current free market level?

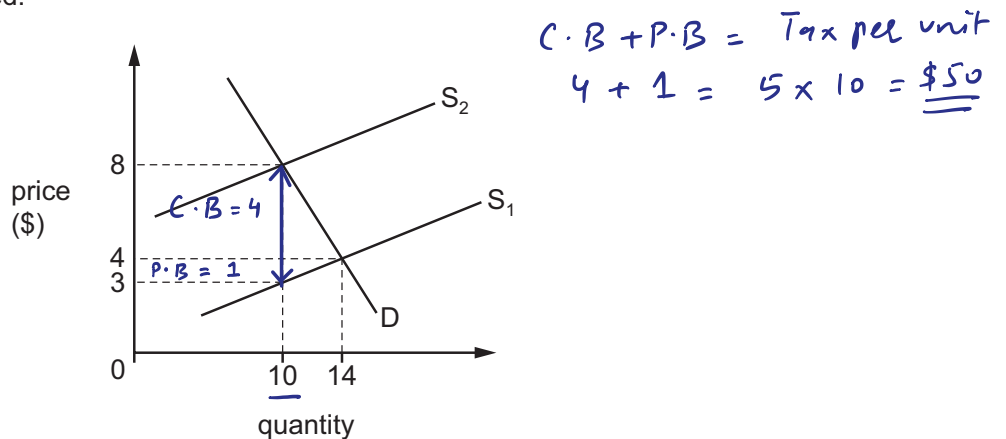
- More applicants
- A a shortage of applicants for rented housing
- ☒ B a shortage of rented housing $P_m \downarrow, Q_d \uparrow, Q_s \downarrow, Q_d > Q_s, \text{shortage}$
- Qs ↓
- C an increase in supply to satisfy the increased demand for rented housing
- D an increase in the number of occupants of rented housing

Existence of shortage

Maximum rents – rising demand



- 15 The diagram shows demand and supply curves for a good. S_1 is the original supply curve, S_2 is supply after a tax is added.



How much tax revenue is earned by the government?

- A \$10 B \$40 ~~C~~ \$50 D \$80

Progressive, income ↑, Tax rate ↑, Impact on Rich.

- 16 A country uses an income tax under which the first \$10,000 of income is tax-free, the next \$20,000 is taxed at 20% and any income over \$30,000 is taxed at a top rate of 40%. It also levies a sales tax of 10% on most products, although some essential goods are exempt.

Regressive, income ↑, Tax rate ↓, impact on poor

Which combination of tax changes is most likely to create a more equal distribution of income in the country?

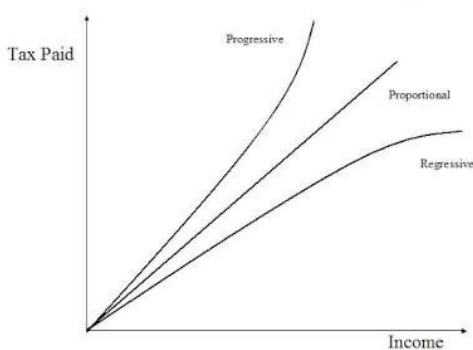
High progressive, low Regressive

Taking from Rich

	income tax	sales tax
A	a higher tax-free allowance	a higher rate of tax
B	a <u>higher top rate of tax</u>	a <u>lower rate of tax</u>
C	a lower tax-free allowance	a higher number of exempt goods
D	a lower top rate of tax	a lower number of exempt goods

→ Relaxation for poor

Progressive, Proportional, Regressive Taxation



Types of Taxes

- **Progressive Tax-**
 - As income ↑ ⇒ Average Tax Rate ↑
 - Example: U.S. Federal Income Tax
- **Regressive Tax-**
 - As income ↑ ⇒ Average Tax Rate ↓
 - Example: Gasoline Tax, Bridge Tax
- **Proportional Tax**
 - Regardless of income level ⇒ Average Tax Rate unchanged
 - Example: Flat Income Tax, Corporate Taxes
- **Excise Tax**
 - Flat rate per unit ⇒ paid at purchase
 - Example: Gasoline (\$0.50 per gallon), cigarettes (over \$200 per pack)
 - (both are also regressive taxes)



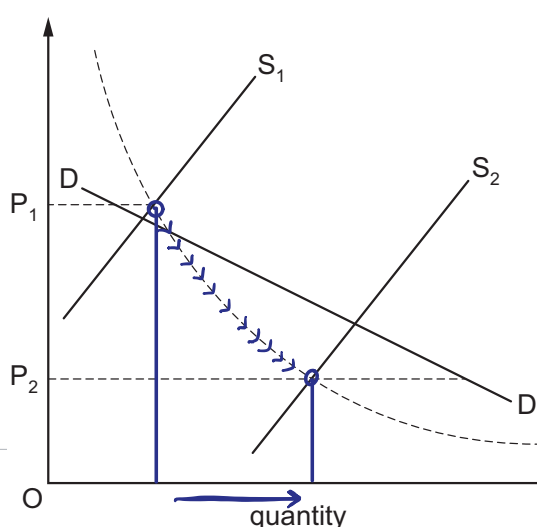
Some taxes can be two types!

- 17 In the diagram, DD is the demand curve for an agricultural commodity, S_1 is the supply curve in period 1 and S_2 is the supply curve in period 2. The broken curve is a rectangular hyperbola.

Unitary Elastic Demand (Ped = 1)

A demand curve with unitary price elasticity has a coefficient of PED equal to 1 (unity) throughout

- With a demand curve of unitary price elasticity, a change in price is met with a proportionate change in demand
- This means that total spending by consumers on the product will remain the same at each price level



* Focus on the dotted line

* Unitary.

Prices ↓, QD ↑

TR/TE = Unchanged

* → It's Unitary demand, Rectangular hyperbola
TR/TE ⇒ Unchanged

The government operates a buffer stock scheme fixing the price at OP_1 in period 1 and OP_2 in period 2.

$P \downarrow, Q \uparrow$

How do output and farm revenue in period 2 compare with period 1?

	output	farm revenue
☒ A	higher ✓	same ✓
☐ B	higher ✓	higher
☐ C	lower	higher
☐ D	lower	same ✓

- 18 A government decides to privatise a nationalised company by transferring ownership directly to its managers and workers.

What is its most likely motive for this decision?

- ☒ A to increase the amount of innovation (No link to Ownership change)
- ☐ B to increase the level of competition (No link to Ownership change)
- ☒ C to increase the level of incentive (Direct incentive for managers and workers)
- ☐ D to increase the scale of production (No link to Ownership change)

↓ ↓
Their work will benefit directly to them!

$$\star AD = C + I + G + (X - M)$$

$$\star AD = C + I + G + (x - m)$$

10

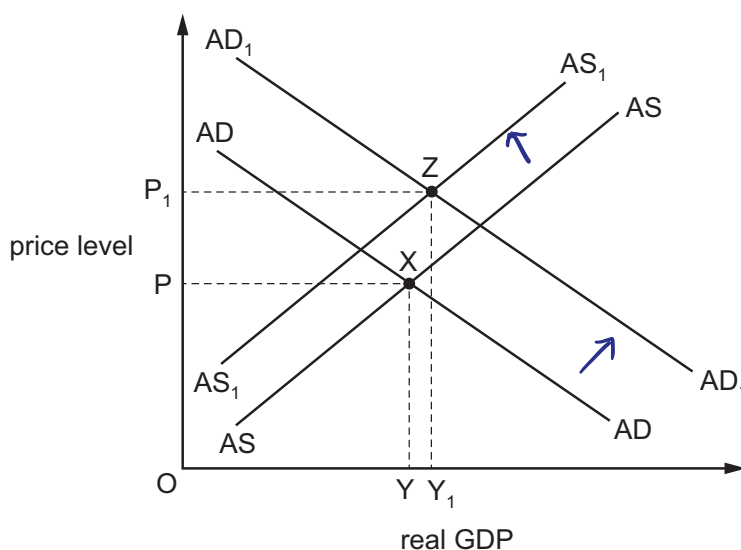
Demand ↓ (Domestic)

- What might have lessened the impact on the economy?

↳ Any offsetting action took place, which causes Demand ↑

- ☒ **A** Exports increased. , $AD \uparrow$
- B** Imports increased. , $M \uparrow$, payments made, $AD \downarrow$
- C** Savings increased, $save \uparrow$, $spend \downarrow$, $C \downarrow$, $AD \downarrow$
- D** Taxes increased. , $Tax \uparrow$, Disposable income $\downarrow$, $C \downarrow$, $AD \downarrow$

- 20** An economy is initially in equilibrium at point X in the diagram.



The government then introduces a supply-side policy measure which causes the economy to move to point Z. ✓ to Z is "↑↑↑ and ↓↓↓"

X to Z :- "ADT and AS↓"

Which supply-side policy and reaction could explain this change?

Tax $\downarrow$, D.Y $\downarrow$, C $\uparrow$, AD $\uparrow$

- Which supply side policy and reaction could explain this change:
- ☒ **A** ^{Tax ↓, D.Y ↓, CT, AD ↑} a cut in income tax to increase the incentive to work but which results in workers increasing their leisure time → less work, less output, AS ↓
 - ☐ **B** ^{AD ↓} a cut in unemployment benefit which results in more applications for training courses
 - ☐ **C** ^{AD ↑} a rise in government spending on education which ^{AS ↑} increases labour productivity
 - ☐ **D** ^{AS ↑} privatisation of key industries which results in an increase in economic efficiency

- 21 A country experienced an annual deflation rate of 2% for four successive years.

Which statement is correct for the four-year period?

- e.g. 100 Rs 2% deflation 98 Rs
98 Rs 2% deflation 96.04 Rs
96.04 Rs 2% deflation 94.08 Rs
94.08 Rs 2% deflation 92.19 Rs
- A The price level fell by 8%. (No)
☒ B The price level fell by less than 8%.
 C The real value of money fell by 8%. (No)
 D The real value of money fell by less than 8%. (No)

- 22 In July 2013, orders for durable US manufactured goods from computers to aircraft fell 7.3%, the biggest fall for a year.

What might explain this change in trade and how would it have affected the US balance of payments?

	reason for change	effect on balance of payments
A	an expansion in domestic production	increased outflow in the current account
B	an expansion in foreign markets	reduced inflow in the financial account
C	a recession in domestic production	increased outflow in the financial account
☒ D	a recession in foreign markets	'reduced inflow' in the current account

less income by foreigners (Demand vs goods ↓)

Less payments

Trade in goods comes under current account

- 23 The following exchange rates were recorded in the foreign exchange market.

$$£1 = €1.208$$

$$\$1 = €0.727$$

$$€1 = \$1.375$$

$$£1 = €1.208$$

$$€1 = \$1.375$$

$$€1.208 = \$x$$

$$x = \$1.661$$

Within which range of values should £1 exchange for \$?

- A £1=less than \$0.50
 B £1=between \$0.50 and \$1
 C £1=between \$1 and \$1.50
☒ D £1=more than \$1.50

$$£1 = \$1.661 \left[> \text{than } \$1.50 \right]$$

- 24 Between 2005 and 2010, a country's import prices rose by 25% and its terms of trade rose to 120 (2005 = 100).

Which change has there been in the country's export prices?

- A -5% B 12.5% C 45% ☒ D 50%

$$TOT : \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

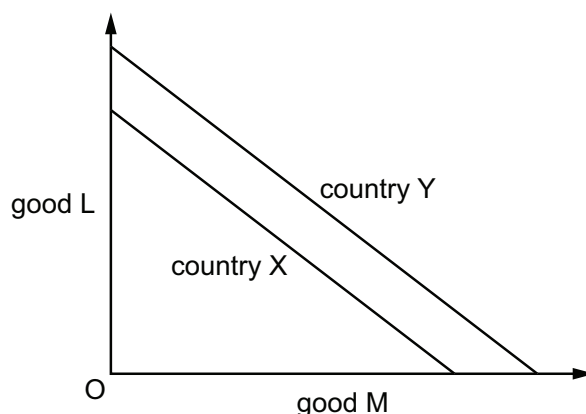
$$120 = \frac{x}{125} \times 100 \Rightarrow 150$$

$$150 - 100 = '50'$$

↓
Base year

25 The diagram shows production possibility curves for two countries, X and Y.

- * Parallel lines
- * Opportunity cost ratios equal
- * No gains from trade or cease the trade



What can be deduced from the diagram?

- A Both countries can benefit from specialisation.
- B Country X has a higher opportunity cost than Y in producing good M.
- C Country Y has a comparative advantage in both goods.
- ☒ D Trade between X and Y will not take place.

26 What is not associated with greater economic integration between countries?

- A increased financial flows (Yes!)
- ☒ B increased quotas [No] [Tool of Protectionism]
- C increased trade creation (Yes!)
- D increased trade diversion (Yes!)

* Trade creation is an economic term related to international economics in which trade flows are redirected due to the formation of a free trade area or a customs union.

* Trade diversion is an economic term related to international economics in which trade is diverted from a more efficient exporter towards a less efficient one by the formation of a free trade agreement or a customs union.

27 Which statement is not a valid justification for an import tariff?

- ☒ A A tariff will prevent imported inflation. (No) (Raw material imported) (cost ↑)
- B A tariff will prevent unfair foreign competition. (Yes) (Dumping)
- C A tariff will protect a developing industry. (Yes) (infant)
- D A tariff will protect an industry in decline. (Yes) (Declining)

28 An increase in interest rates is an example of which type of policy?

- A ^{AD ↓} contractionary fiscal policy (Tax ↑, G ↓)
- ☒ B ^{AD ↓} contractionary monetary policy
- C ^{AD ↑} expansionary monetary policy (R ↓, M^s ↑, ER ↓)
- D restrictive supply-side policy (AS ↓)

* Expenditure reducing or Dampening includes fiscal and monetary

13

- 29 Possible policies a government might use to reduce a deficit on the current account of the balance of payments include devaluation, government spending cuts, interest rate rises and tariffs.

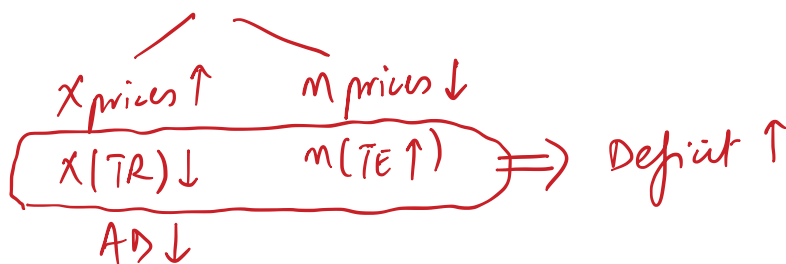
Which two policies would be classified as expenditure-reducing?

- * Expenditure Dampening or reducing policy targets to reduce the expenditure of domestic residents on imported goods but cutting off their income or encouraging them to save.
- A Switching devaluation and government spending cuts
- ☒ B government spending cuts and interest rate rises
- C interest rate rises and tariffs (Switching)
- D tariffs and devaluation (Switching)

- 30 Which policy, adopted by a government with the intention of reducing the rate of inflation, might cause a greater deficit on the balance of payments?

- ☒ A higher foreign exchange rates for its currency (Appreciation)
- B higher interest rates for domestic customers $R \uparrow$, $save \uparrow$, $spend \downarrow$, $C \downarrow$, imports
- C higher subsidies to domestic producers $Prices \downarrow$, $C \uparrow$, $AD \uparrow$, inflation Expenditure $\downarrow$
- D higher tax rates on consumer incomes $Tax \uparrow$, $D \cdot Y \downarrow$, $C \downarrow$, import Expenditure $\downarrow$

Appreciation



price
stability,

inflation
controlled!

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